INSTITUTIONAL EQUITY RESEARCH | INITIATING COVERAGE / PORTFOLIO-FIT REVIEW

Taiwan Semiconductor Manufacturing Company Limited (NYSE: TSM)

Comprehensive Investment Analysis & Thesis

ADD - BUILD GRADUALLY, DO NOT CHASE

MARKET PRICE	12-18M BASE VALUE	CONVICTION	PORTFOLIO STATUS
$420.47	**$505**	**8 / 10**	**Not Held**
Delayed SIP, Aug. 10, 2026 ~9:51 a.m. ET	~20% price upside	Business quality high; tail risk non-trivial	retirement-portfolio-18.xlsx

Core thesis: TSMC is the highest-quality manufacturing bottleneck in advanced logic. AI/HPC demand, a steep 2nm ramp, advanced packaging scarcity and customer-specific capacity planning support a multi-year earnings runway that remains stronger than a normal semiconductor cycle. The stock is no longer cheap, however, and the correct expression is a measured position with valuation discipline rather than an aggressive chase.

Report date: August 10, 2026 | **Fundamental data cut-off:** Q2 2026 results and July 2026 monthly sales | **Portfolio source:** retirement-portfolio-18.xlsx

1. Executive Summary

Investment view

TSMC delivered another step-up in operating performance in Q2 2026: revenue reached **US$40.2 billion**, gross margin **67.7%**, operating margin **60.3%**, and diluted EPS **NT$27.25**. Advanced technologies (7nm and below) were **77% of wafer revenue**; HPC alone was **66% of revenue**. Management raised full-year 2026 US-dollar revenue growth to **slightly above 40%** and lifted the capital budget to **US$60-64 billion**. [1][2]

Today's July monthly sales data further support the thesis: July revenue was reported at roughly **NT$467.6 billion, +45% YoY**, bringing year-to-date growth to about 37%.[3] The operating evidence remains distinctly stronger than the typical late-cycle semiconductor setup.

PM answer

Recommendation: ADD

Best use: Start or build a position gradually; add more aggressively on valuation-driven pullbacks if the AI/2nm thesis remains intact.

Base value: $505

Weighted scenario value: ~$496

Primary risk: Taiwan geopolitical tail risk, followed by AI-capex digestion and margin dilution from global expansion.

Decision hinge: The market already recognizes TSMC as a premier AI beneficiary. The remaining upside requires earnings to compound into 2027-2029 faster than multiple compression and overseas-fab dilution erode valuation. In other words, the investment is now primarily about *duration* of the AI/HPC demand curve, not discovery of the AI thesis.

What is working

- AI/HPC demand is accelerating rather than normalizing; HPC grew 20% sequentially and reached 66% of Q2 revenue.[2]
- 2nm entered revenue in Q2 and is beginning a steep H2 ramp; N3 + N5 + N2 already represented 66% of Q2 wafer revenue.[1]
- Gross margin is exceptional despite international-fab dilution; Q2 gross margin of 67.7% was 910 bps above Q2 2025.[1]
- Capacity remains scarce in advanced packaging, supporting pricing power and reinforcing TSMC's strategic importance to AI customers.[4]
- Balance-sheet strength remains substantial: Q2 cash and marketable securities were about NT$3.52 trillion (~US$110 billion).[1]

What is weakening / becoming harder

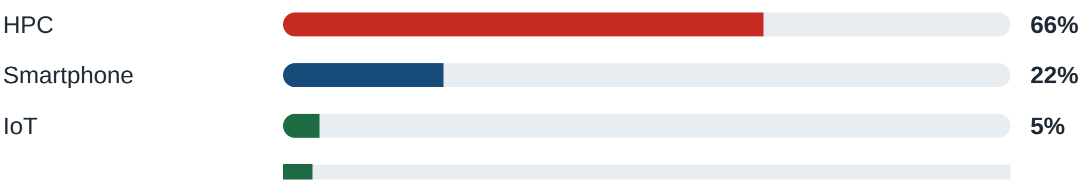
- Valuation has rerated materially; TSM ADRs were up roughly 38% YTD through Aug. 7.[3]

- The 2nm ramp is expected to dilute gross margin by roughly 3-4 percentage points in H2 2026, while overseas fabs add further structural dilution over time.[4]
- 2026 capex is now US$60-64 billion, and management expects the next three years' capex to be even more significantly above the prior three years.[4]
- Customer concentration is rising: the top 10 customers were 78% of 2025 revenue; the top two represented 36%.[5]

2. Key Metrics & Current Setup

Metric	Current / Latest	Interpretation
Q2 2026 Revenue	US$40.20B	+33.7% YoY, +12.0% QoQ; high end of guidance.
Q2 Gross Margin	67.7%	Exceptional foundry economics; near-term pressure from 2nm ramp.
Q2 Operating Margin	60.3%	Operating leverage is expanding faster than revenue.
Q2 EPS	NT$27.25 / US$4.31 per ADR	+77.4% YoY; included a non-operating gain from Vanguard shares.
Advanced Node Mix	77%	7nm and below; mix is increasingly centered on 3nm/5nm/2nm.
HPC Revenue Mix	66%	AI/HPC is now the dominant platform driver.
Q3 Revenue Guide	US$44.6-45.8B	Midpoint implies ~37% YoY growth.
2026 Revenue Outlook	Slightly above +40% USD	Raised in July; requires a strong H2, but July sales are supportive.
2026 Capex	US$60-64B	70-80% advanced process; 10-20% advanced packaging/testing/masks/other.
Cash & Marketable Securities	NT$3.52T (~US$110B)	Provides flexibility for a historically large capacity build.
Current ADR Price	$420.47	Delayed SIP snapshot, Aug. 10, 2026.
Approx. Equity Value	~US$2.18T	Based on 25.932B common shares and 5:1 ordinary-share/ADR ratio.[6]

Q2 Revenue Mix - Platform



Automotive	**4%**

Source: TSMC Q2 2026 earnings conference transcript.[2]

3. Investment Thesis & Variant Perception

The opportunity

TSMC is not simply a semiconductor manufacturer; it is the manufacturing and packaging platform that allows many of the world's highest-value chip designers and hyperscalers to commercialize leading-edge silicon without owning leading-edge fabs. The pure-play foundry model reduces channel conflict, while manufacturing scale, yield learning, design enablement, process breadth and capital intensity create a self-reinforcing moat.

The core opportunity is that the AI infrastructure build is broadening from accelerators into CPUs, networking, custom ASICs, edge AI and packaging complexity. This increases TSMC's addressable content even if share shifts occur among Nvidia, AMD, custom accelerators or CPU architectures. Management explicitly highlighted agentic AI as an incremental silicon driver because x86, ARM and RISC-V CPU ecosystems are overwhelmingly TSMC customers.[4]

Variant perception

Debate	Common Market View	Our View
AI cycle duration	AI capex is powerful but increasingly late-cycle and vulnerable to digestion.	The spending cycle will be volatile, but TSMC's content opportunity is broadening across accelerators, CPUs, networking and advanced packaging. The duration is likely longer than a conventional 2-3 year semiconductor upcycle.
Gross margin	Global fabs and N2 will structurally pressure margins.	Correct, but the market may underestimate offsetting node-mix, utilization, process value and productivity. A sustainable mid/high-50s-to-low-60s operating margin remains plausible even with overseas dilution.
Competition	Samsung and Intel can eventually narrow the advanced-node / packaging gap.	Competition matters, but TSMC's moat is not a single node. It is the combined system of yield, scale, customer trust, IP ecosystem, packaging, capacity planning and execution across multiple nodes.
Valuation	TSM deserves a premium because it is an irreplaceable AI bottleneck.	Yes, but valuation is now a real risk. A premium multiple is justified only if 2027-2029 EPS growth remains unusually strong; this is why the rating is ADD rather than Strong Add.

Three key value drivers

1. **Leading-edge mix and 2nm monetization.** Q2 2026 wafer revenue was 30% 3nm, 33% 5nm, 11% 7nm and 3% 2nm. 2nm is entering a steep ramp, while N2P/A16 and later A14 extend the roadmap. [1][7]
2. **AI/HPC demand and advanced packaging.** HPC is 66% of revenue and advanced-packaging capacity is sufficiently constrained that management said it currently limits customer growth. This

creates both scarcity economics and a strong incentive for customers to commit capacity years in advance.[2][4]

3. **Scale-funded technology leadership.** The US$60-64B 2026 capital budget is expensive, but it is also a barrier to entry. TSMC can fund leading-edge process, packaging and global resiliency simultaneously while still generating positive free cash flow.[4]

4. Business, Industry & Moat

Business model

TSMC pioneered the dedicated pure-play foundry model: it manufactures semiconductors designed by customers and does not compete with them through branded chip products. In 2025 it manufactured 12,682 products across 305 process technologies for 534 customers. Annual manufacturing capacity exceeded 17 million 12-inch-equivalent wafers.[7]

Moat assessment

Moat Element	Assessment	Evidence / Implication
Process technology	**Very strong**	N2 entered high-volume manufacturing in Q4 2025; 2nm already contributed 3% of Q2 2026 wafer revenue. A14 is targeted for 2028 volume production.[7]
Manufacturing yield / execution	**Very strong**	High utilization, cost improvement and cross-node capacity optimization supported 67.7% Q2 gross margin while scaling advanced nodes.
Design ecosystem / switching costs	**Very strong**	Customers design products years ahead around process rules, IP libraries, packaging and manufacturing qualification; switching a leading-edge product is costly and slow.
Scale / capital barrier	**Exceptional**	2026 capex alone is US$60-64B; next-three-year capex is expected to exceed the prior three years by an even larger amount.[4]
Customer trust	**Exceptional**	Pure-play model avoids competing with customers and encourages deep roadmap sharing.
Advanced packaging	**Strong and tightening**	Packaging capacity remains a customer bottleneck, extending TSMC's role beyond front-end wafers.

> **Moat conclusion:** Wide. TSMC's advantage is a system rather than a single technology generation. Competitors can close individual gaps, but replicating the full ecosystem, yield learning, capital scale, packaging capability and customer trust simultaneously is significantly harder.

Management & capital allocation

Chairman and CEO C.C. Wei's current capital allocation priority is capacity growth, not financial engineering. The company is spending aggressively because customer roadmaps and multi-year demand signals support it. The balance sheet makes this feasible, but investor returns depend on disciplined sequencing and acceptable returns on the overseas build.

Dividend growth remains a secondary but improving component: TSMC said shareholders will receive **NT$24 per common share in 2026, +33% YoY**, and management expects the dividend per share to continue increasing in 2027.[4]

5. Technology Roadmap & Capacity

Leading-edge roadmap

Technology	Status	Investment Significance
N3 / 3nm	30% of Q2 2026 wafer revenue	Large, long-lived node supporting smartphones and HPC; TSMC is adding three more 3nm fabs across Taiwan, Arizona and Japan.[4]
N2 / 2nm	High-volume production began Q4 2025; 3% of Q2 2026 wafer revenue	Major 2026-2027 growth driver. Near-term yield/ramp costs dilute margin, but node economics should improve with scale.
N2P / A16	Volume production scheduled H2 2026	Extends N2 family; A16 adds backside/super-power-rail capability for power-dense HPC designs.[7]
A14	Volume production targeted 2028	Second-generation nanosheet; management expects another full-node improvement in performance/power.
A13 / A12	Targeted for 2029	Roadmap extensions designed to lengthen A14-family economics and customer migration.

Global capacity strategy

TSMC is balancing two objectives: preserve the superior economics and talent density of Taiwan while giving strategic customers geographic redundancy. The company said it is building **13 leading-edge and advanced-packaging fabs in Taiwan** over the next several years, while total planned Arizona investment has risen to **US$265 billion** after a new US$100 billion commitment. Japan is expanding, and the Dresden, Germany project targets automotive and industrial applications.[4][7]

> **Important trade-off:** Geographic diversification lowers single-region supply-chain risk but raises structural cost. Management currently expects overseas-fab gross-margin dilution of roughly 2-3 percentage points in early stages, widening to 3-4 points later as the footprint scales.[4]

Advanced packaging: opportunity and constraint

CoWoS and related advanced packaging are now strategically important because AI accelerators depend on integrating compute die, HBM and interconnect at scale. Management said packaging capacity is so tight that it is limiting customer growth, and welcomed competing packaging capacity because it can relieve bottlenecks while still supporting TSMC's front-end wafer demand.[4]

This is a constructive signal: TSMC does not need to capture 100% of the packaging pool to win. If alternative packaging allows customers to ship more systems built on TSMC wafers, front-end demand can still expand.

6. Financial Analysis

Metric	Q2 2025	Q1 2026	Q2 2026	Trend
Revenue (NT$B)	933.8	1,134.1	1,270.4	**Strong**
Gross Margin	58.6%	66.2%	67.7%	**Expanding**
Operating Margin	49.6%	58.1%	60.3%	**Expanding**
Net Income (NT$B)	398.3	572.5	706.6	**+77% YoY**
EPS (NT$)	15.36	22.08	27.25	**+77% YoY**
ROE	34.8%	40.5%	45.9%	**Exceptional**

Quality of earnings

Indicator	Q2 2026	Assessment
Cash from operations / Net income	~1.11x	**Healthy conversion**
Free cash flow	NT$287.4B	Positive despite NT$496B quarterly capex.
Cash & marketable securities	NT$3.52T	**Very strong liquidity**
Long-term interest-bearing debt	NT$864B	Modest relative to cash and earnings.
Inventory days	87	**Up from 80; management attributes increase primarily to N2 ramp.**
Beneish M-score	N/A	Not calculated; source set does not justify a reliable score.

Q2 cash flow: operating cash NT$783.4B, capex NT$496.0B, free cash flow NT$287.4B.[1]

2026-2028 base financial model (analyst estimates)

US$ unless stated	2025A	2026E	2027E	2028E
Revenue	$122.4B	$171-173B	$210-214B	$240-250B
Revenue Growth	+35.9%	~+40%	~+23%	~+15%
Net Margin	45.1%	~48-49%	~48-50%	~48-50%
ADR EPS	~$10.6	~$16.0	~$20.0	~$22.5-23.5
Capex	High	$60-64B	Very high	Very high

2026-2028 are research estimates, not company guidance except 2026 revenue growth and capex. The EPS framework uses the 5:1 ordinary-share/ADR ratio and a roughly NT$32/US$ exchange rate for normalization.

7. Recent Earnings & Forward Checkpoints

Q2 2026 scorecard

Area	Result	Read-through
Revenue	US$40.2B, high end of guidance	**Demand strength confirmed.**
Gross Margin	67.7%, slightly above guided range	**Manufacturing leverage stronger than overseas dilution so far.**
HPC	66% of revenue; +20% QoQ	**AI/HPC is broad and still accelerating.**
2nm	3% of wafer revenue	**Commercial ramp has begun; H2 ramp is a major driver.**
Capex	Raised to US$60-64B	**Confirms confidence, but increases execution and return-on-capital burden.**
2026 Revenue Guide	Slightly above +40% USD	**Major upward revision; July sales support the trajectory.**

Upcoming checkpoints

Checkpoint	Timing	What matters
August monthly sales	Sept. 10, 2026	Does the July acceleration persist, and is Q3 tracking above the $45.2B midpoint?
September monthly sales	Oct. 8, 2026	Confirms Q3 revenue trajectory before earnings.
Q3 2026 results	Expected mid-October; company date not yet listed in the retrieved calendar	2nm mix, gross-margin dilution, packaging capacity, 2027 demand commentary and capex.
N2P / A16 ramp	H2 2026	Customer adoption and yield economics.
Arizona Fab 2	H2 2027 HVM target	Schedule, cost, yield parity and customer loading.

8. Valuation

Valuation framework

For TSMC, forward P/E is the primary method because the current capex supercycle makes near-term free cash flow unusually depressed relative to normalized earnings power. A DCF is useful only as a cross-check and is extremely sensitive to assumptions about when capex normalizes.

BEAR CASE - 20%

$315

-25%

2027 ADR EPS ~$17.5; 18x multiple. AI capex decelerates, N2/overseas dilution persists, geopolitical/valuation premium contracts.

BASE CASE - 55%

$505

+20%

2027 ADR EPS ~$20; 25.25x. AI/HPC remains structurally strong, N2 scales, gross margin normalizes after ramp costs.

BULL CASE - 25%

$620

+47%

2027 ADR EPS ~$22.5; 27.5x. AI demand broadens further, packaging scarcity improves mix, earnings estimates keep rising.

> **Probability-weighted value:** approximately **$496 per ADR**, or about **18% above** the current $420.47 price before dividends.

EPS / P-E sensitivity (2027)

2027 ADR EPS	20x	22x	24x	26x	28x
$18	$360	$396	$432	$468	$504
$20	$400	$440	$480	$520	$560
$22	$440	$484	$528	$572	$616
$24	$480	$528	$576	$624	$672

Valuation cross-check

Method	Implied Value / Range	Interpretation
2027 P/E - Base	~$500-520	Assumes ~$20 ADR EPS and 25-26x for exceptional quality/growth.
Normalized FCF DCF	~$445-525	Sensitive to capex normalization; requires free cash flow to scale materially after the current build cycle.
External analyst targets	~$537 average	19-analyst S&P Global-based snapshot cited by StockAnalysis in late July.[8]

Valuation discipline: The business can outperform while the stock underperforms if the market begins discounting peak AI spending or applies a larger geopolitical premium. That asymmetry argues for staged buying. A pullback toward roughly $380-$400 would improve the forward risk/reward materially if the operating thesis remains intact.

9. Dividend & Capital Returns

TSMC is primarily a growth compounder, not an income security. The company paid NT$18 per common share in 2025 and said shareholders will receive NT$24 in 2026, with another increase expected in 2027.[4] The Q1 2026 dividend is NT$7 per common share, approximately US$1.11 per ADR before withholding at the company's stated conversion.[9]

Dividend Item	Assessment
Current yield	Approximately 1% on the ADR, depending on FX and withholding.
Growth	**Strong; 2026 cash dividend per share is expected to rise ~33% from 2025.**
Coverage	**Strong; dividend is modest relative to earnings and operating cash flow.**
Priority	Secondary to capex and technology leadership.

10. Risk Analysis

Risk	Probability	Impact	Underwriting View
Taiwan / cross-strait geopolitical disruption	Low-to-Medium	Extreme	The most important tail risk. Global fabs reduce concentration over time but cannot replicate Taiwan's scale quickly.
AI-capex digestion / overbuild	Medium	High	A sharp hyperscaler spending reset could hit utilization, packaging demand and valuation simultaneously.
Export controls / trade restrictions	Medium	Medium-High	TSMC's 20-F highlights tariffs, China-related export controls, licensing and supply-chain changes as material risks.[5]
Overseas-fab cost dilution	High	Medium	Management itself expects 2-4 points of gross-margin dilution as overseas scale rises.
Technology / yield execution	Low-to-Medium	High	N2/A16/A14 must sustain leadership; a meaningful yield or schedule gap would damage moat and returns.
Customer concentration	Medium	Medium	Top 10 customers were 78% of 2025 revenue. AI concentration raises both upside and volatility.[5]
Power, water, earthquake / natural hazards	Medium	Medium-High	Semiconductor fabs require reliable power/ water and Taiwan is exposed to natural hazards; redundancy and conservation mitigate but do not remove risk.
Valuation compression	Medium	Medium-High	The stock can fall meaningfully on merely "good" results if expectations become too high.

Explicit thesis-break conditions

- **Technology:** Evidence that N2/A16 yields, performance or customer adoption materially lag a credible competitor for more than one major product cycle.
- **Demand:** Two or more quarters of material HPC/AI deceleration accompanied by order pushouts and falling leading-edge utilization, not merely smartphone/mature-node weakness.
- **Margins:** Gross margin falls below ~55% on a sustained basis without a clear ramp-cost explanation or recovery path.
- **Capital returns:** Capex remains structurally above cash-generation capacity and free cash flow fails to scale despite revenue growth.
- **Geopolitics/regulation:** A material deterioration in cross-strait security or export rules that impairs TSMC's ability to serve major customers or obtain critical equipment.
- **Customer behavior:** A major leading-edge customer meaningfully multi-sources away from TSMC because of execution, price or technology rather than normal diversification.

11. Catalysts

Catalyst	Timing	Potential Impact
Monthly revenue continues above +35-40% YoY	Monthly	**Supports estimate revisions and extends AI-cycle duration.**
Q3 revenue above midpoint / margin near high end	Q3 earnings	**Would show N2 ramp costs are being absorbed better than feared.**
N2/N2P/A16 customer ramp	H2 2026-2027	**Higher content and node-mix support revenue and pricing.**
Advanced packaging capacity relief	2026-2027	**Removes a customer shipment bottleneck and supports front-end wafer demand.**
AI capex pause	Any quarter	**Fastest route to estimate and multiple compression.**
Cross-strait / export-control escalation	Unscheduled	**Can overwhelm company-specific fundamentals.**

12. Portfolio Fit

The portfolio export **retirement-portfolio-18.xlsx** does not contain a direct TSM position. Direct semiconductor exposure identifiable in the workbook is approximately **4.12%** through AVGO (2.94%), QCOM (1.05%) and SOXQ (0.13%). Underlying TSM exposure inside diversified ETFs is not counted because the export does not provide look-through holdings.

Portfolio Consideration	Assessment
Role	High-quality international growth / semiconductor infrastructure compounder.
What it adds	Direct exposure to the foundry bottleneck and advanced manufacturing economics rather than another fabless chip designer.
What it duplicates	Raises overall AI/semiconductor sensitivity already present through AVGO, QCOM and mega-cap technology holdings.
Diversification benefit	Non-U.S. issuer and distinct foundry business model; however, geographic concentration in Taiwan creates a unique tail risk rather than conventional diversification.
Income fit	Low; dividend yield is around 1% and should not be the reason to own it.
Volatility / drawdown fit	Expect equity-like and semiconductor-cycle volatility plus episodic geopolitical gaps.

Research sizing framework

Position Level	Approx. Portfolio Value	Research View
0.75%	~$12.5K	Starter position if initiating near current valuation.
1.00%	~$16.7K	Reasonable initial target for a high-conviction but geopolitically asymmetric name.
1.50%	~$25.1K	More appropriate after a pullback or additional 2nm/earnings confirmation.
2.00%	~$33.4K	Upper-end research sizing before considering indirect ETF exposure and broader AI concentration.

Sizing figures use a portfolio market value of approximately $1.671 million from the designated workbook. They are analytical guardrails, not a requirement to transact.

Portfolio conclusion: TSM would improve the quality of the portfolio's semiconductor exposure by adding the manufacturing platform that serves multiple competing chip designers. Because the portfolio already has meaningful U.S. technology and semiconductor exposure, the best fit is a **measured 0.75-1.25% initial position**, with room to scale only if valuation improves or the 2nm/AI earnings path continues to de-risk.

13. Expected Return Drivers by Horizon

Horizon	Primary Return Drivers	Base Research Expectation
1 year	2026 estimate revisions, Q3/Q4 revenue, N2 ramp, P/E stability	Mid-teens to ~20% total-return potential in base case; downside is valuation-sensitive.
3 years	AI accelerator + CPU/custom silicon growth, N2/A16, packaging, Arizona/Japan ramp	Low-to-mid-teens annualized return if EPS compounds high teens and valuation gradually normalizes.
5 years	A14 family, global capacity utilization, AI adoption beyond datacenters	Potential low-to-mid-teens annualized compounder, but path likely cyclical.
10 years	Long-run compute intensity, foundry share, capital discipline, geopolitical continuity	High-quality compounding potential; geopolitical tail risk remains the dominant non-modelable uncertainty.

14. Final Recommendation

Rating: ADD | Conviction: 8/10 | 12-18M Base Value: $505

TSMC is one of the rare semiconductor businesses where industry cyclicality sits on top of a structural monopoly-like position in the most advanced manufacturing ecosystem. Q2 results, the raised 2026 outlook and July sales all strengthen the fundamental thesis. The reason not to rate it Strong Add is valuation and asymmetric geopolitical risk, not operating weakness.

Implementation bias: initiate gradually near current levels; become more aggressive on valuation-driven weakness toward $380-$400 if the 2nm/AI thesis is unchanged; reconsider the thesis rather than automatically averaging down if weakness is caused by structural technology, customer or geopolitical deterioration.

Confidence & underwriting status

Evidence confidence: High for company fundamentals and guidance; medium for forward valuation because consensus estimates are changing rapidly.

Underwriting status: Completed initiating-coverage style underwrite suitable for Portfolio Command Center publication, subject to your approval.

Primary unresolved uncertainty: The market cannot reliably price the probability or impact of a severe Taiwan geopolitical event; no conventional DCF fully captures this tail risk.

15. Sources & Evidence Register

1. **TSMC Q2 2026 Earnings Release and Presentation** - July 16, 2026. https://investor.tsmc.com/english/quarterly-results/2026/q2
2. **TSMC Q2 2026 Earnings Conference Transcript** - July 16, 2026. Available from TSMC quarterly-results page above.
3. **Barron's - TSMC July 2026 Sales / AI demand update** - Aug. 10, 2026. https://www.barrons.com/articles/tsmc-stock-sales-ai-chips-3491573c
4. **TSMC Q2 2026 Earnings Call - capacity, capex, AI, packaging and margin commentary** - July 16, 2026. TSMC investor relations transcript.
5. **TSMC 2025 Form 20-F** - filed April 16, 2026. SEC filing
6. **Citi Depositary Receipt Services - TSM ADR ratio** - 5 ordinary shares per ADR. Citi ADR program
7. **TSMC 2025 Annual Report** - technology roadmap, capacity, 2025 financials. TSMC 2025 Annual Report
8. **StockAnalysis / S&P Global analyst target snapshot** - late July 2026. https://stockanalysis.com/stocks/tsm/forecast/
9. **TSMC Latest Dividend** - current dividend schedule and ADR equivalent. https://investor.tsmc.com/english/latest-dividend
10. **Market data:** Alpaca delayed SIP snapshot for TSM ADR on Aug. 10, 2026 around 9:51 a.m. ET.
11. **Portfolio source:** retirement-portfolio-18.xlsx, designated portfolio baseline. TSM is not directly held in the workbook.

Methodology notes

- Forward 2026-2028 revenue, margins and ADR EPS are analyst estimates built from company guidance and Q2 run-rate data; they are not company guidance except where explicitly identified.
- Scenario targets use forward EPS / P-E because current free cash flow is unusually affected by the US$60-64B 2026 capital budget. DCF is used only as a secondary cross-check.
- Approximate market capitalization uses 25.932B common shares outstanding and a 5:1 common-share/ADR ratio.
- Portfolio percentages are derived solely from retirement-portfolio-18.xlsx and do not look through ETF holdings.

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